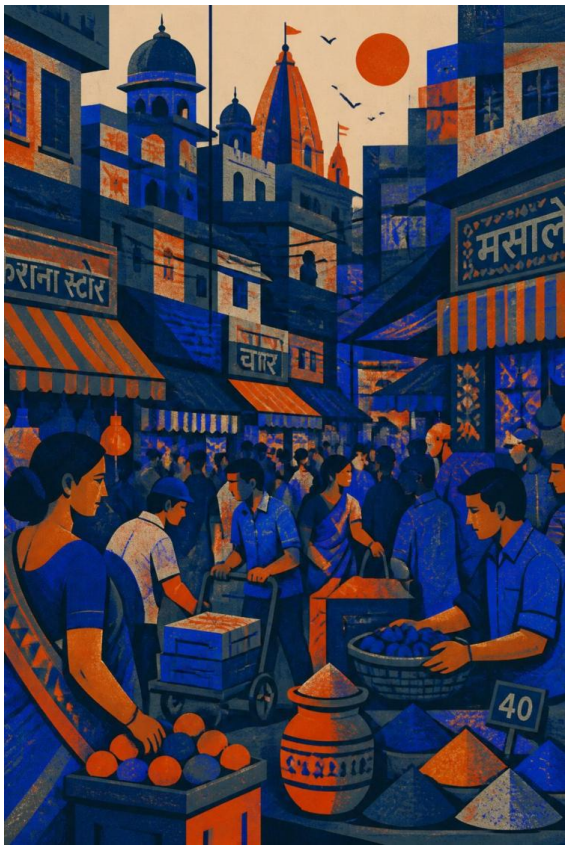
The Indian Service Marketplace

From fragmented local services to organised, on-demand platforms





The Problem: A Massive Market Stuck Offline

99% Informal

The overwhelming majority of the market remains offline — no standardisation, no accountability, no scale.

Consumer Pain

Fragmentation, inconsistent quality, and a persistent trust deficit define the customer experience.

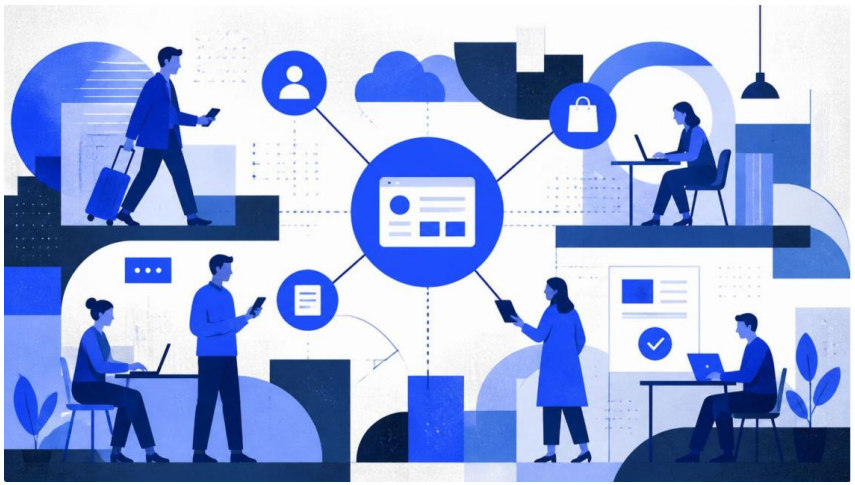
Worker Vulnerability

Service professionals lack stable income, formal pathways, and any safety net.

Why this matters: The next phase is about density, quality, and unit economics — not just demand.

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The Sector Map: How Platforms Create Order



1 Supply

Fragmented professionals and informal workers brought into a structured, verified ecosystem.

2 Platform

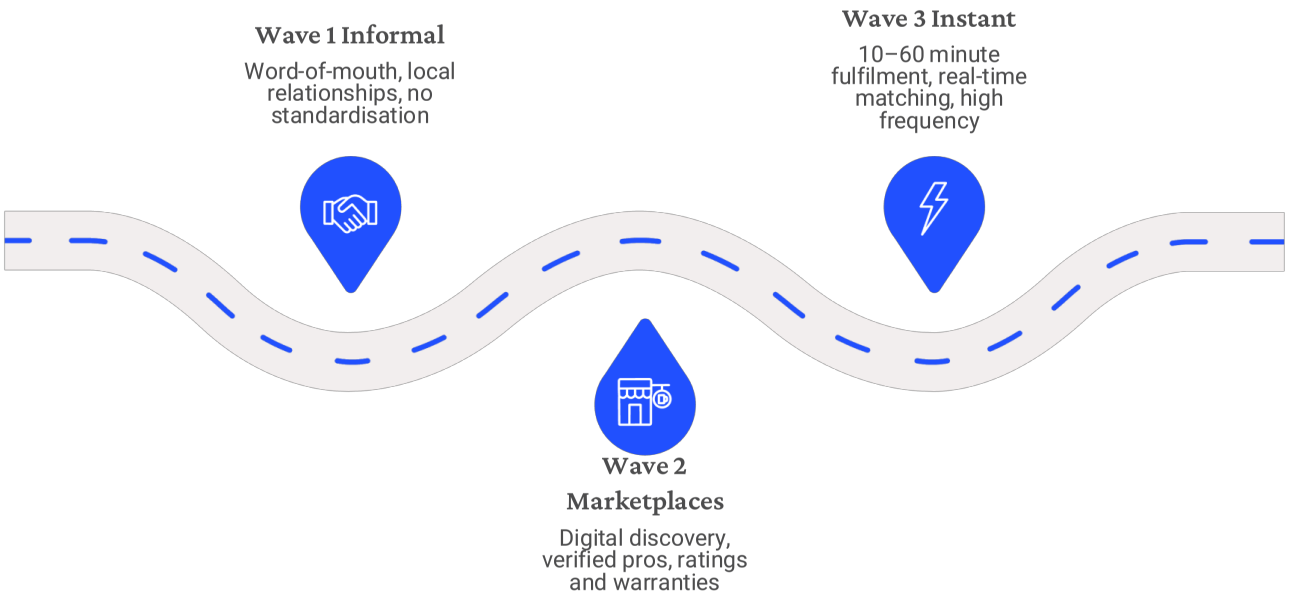
Trust, matching, payments, and quality control — the connective tissue of the organised market.

3 Demand

Urban households seeking convenience, reliability, and accountability on every booking.

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Market Evolution: Three Distinct Waves



The industry is moving from "**find someone**" to "**get it done now**" — a fundamental shift in consumer expectation and platform architecture.

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Urban Company: The Incumbent's Dilemma

Core Marketplace

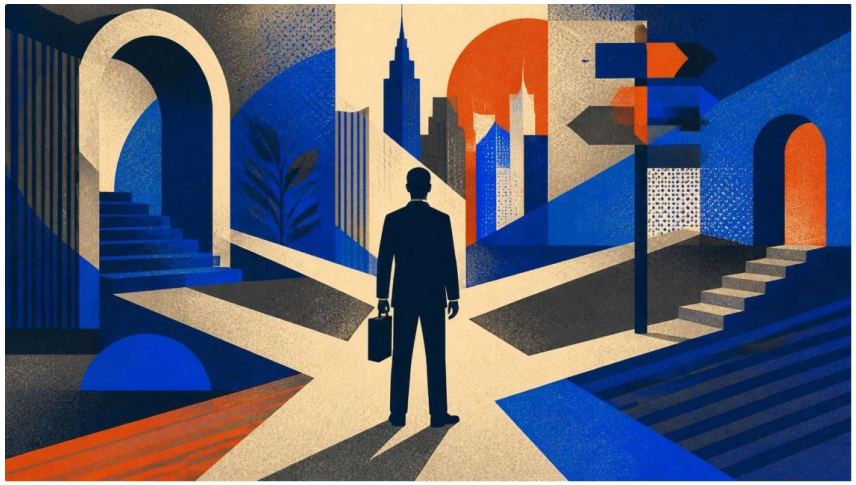
Profitable, growing, and defending its position in premium scheduled services.

InstaHelp

Burning capital to build instant-services leadership — a high-stakes bet on the next wave.

The Tension

Scaling convenience requires heavy investment. Defending the core while building the future is the central strategic challenge.



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Urban Company: The Numbers Behind the Dilemma





Core Marketplace

Positive / green

Growing, profitable, and supporting the business.

InstaHelp

Negative / red

Burning cash as the company pushes into instant services.

Revenue grew 36% year over year, but the company is investing heavily in instant services — leaving the core marketplace profitable while InstaHelp drives losses.

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New Competitors: The Instant-Services Wave

Snabbit

10-minute home services across 5 cities. Backed by rapid VC funding and betting on hyper-local supply density as its moat.

Pronto

Shift-based model offering guaranteed worker income across 4 cities — differentiating on supply quality and retention.

New Battlegrounds

Speed, affordability, and supply density are now the competitive axes. Venture capital is flowing — the category is inflecting.



The Five-Layer Sector Map

1

Demand

Households, tenants, homeowners, landlords, offices, small businesses

2

Service

Cleaning, beauty, repair, appliance maintenance, painting, plumbing, pest control, electrician, instant-response

3

Supply

Independent professionals, small local firms, franchises, specialist technicians, platform-trained partners

4

Platform

Discovery, pricing, matching, payments, training, quality assurance, warranties, customer support, partner financing

5

Infrastructure & Regulation

GST, labour classification, insurance, consumer protection, data protection, safety standards, local licensing

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Tier-2 & Tier-3: Opportunity vs. Reality



The Winning Approach

- **Category-led expansion** — Enter with one high-frequency service that customers already understand and need regularly. Build habit and trust in that category first, then expand into adjacent services once the brand has a strong local foothold.
- **Density-first strategy** — Focus on one cluster at a time so demand, supply, and logistics reinforce each other. Higher local concentration reduces travel time, improves response speed, and makes each technician more productive before you move to the next area.
- **Local supply networks** — Invest in training, onboarding, and retention inside each market rather than relying on fly-in labor. Strong in-market supply networks improve consistency, lower churn, and create a reliable base of professionals who can serve repeat demand.

The metro playbook does not scale.
Density is the constraint, not demand.

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Operational Risks & Control Gaps

Unit Economics

Rapid scaling can create losses per order.

Supply Retention

Workers face income volatility, penalties, and weak grievance support.

Algorithmic Management

Ratings, allocation, and penalties shape access to work.

Quality Control

Training, repeat usage, and complaint resolution drive service consistency.

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The Future of Indian Home Services

Consolidation

Market consolidation likely as competitive intensity increases.

Specialisation

Winners own specific categories in specific micro-markets — not everything, everywhere.

Supply Control

Platforms that train, certify, and retain professionals build the deepest competitive moat.

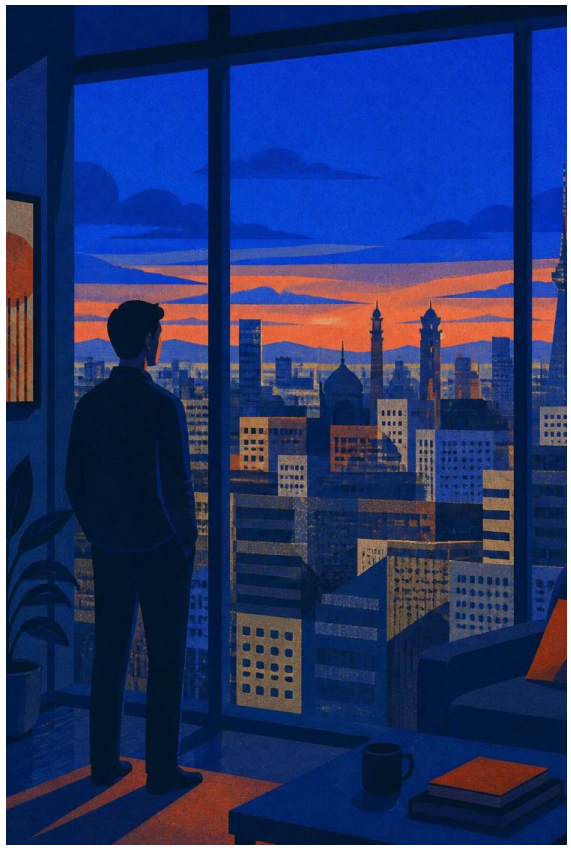
Unit Economics

Making profits—not just increasing sales—is the real challenge.

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Can convenience become a habit without destroying marketplace economics?

The winners will be platforms that achieve **local density**, maintain **service quality**, and build **sustainable unit economics** — while keeping both customers and professionals profitable. This is the central question defining the next five years of India's home-services sector.





Worker Concerns & Transparency Gaps

Reported Issues (from worker organisations and media):

- Opaque rating, allocation, penalty, and account-access systems
- Reduced procedural transparency and bargaining power
- Income volatility and weak grievance mechanisms
- Classification as independent partners vs. practical degree of platform control

The Research Gap:

- No publicly disclosed, independently audited data on:
- Suspension rates and appeal outcomes
- Partner attrition and churn
- Penalty incidence and fairness
- Social-security coverage and insurance claims

The Implication:

Worker protection and algorithmic transparency remain material governance risks in the sector.

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